

HDFC Life Insurance Company Ltd

HDFCLIFE

10.7%

ROE

646.5%

ROCE

0.1x

D/E

99.5%

OPM

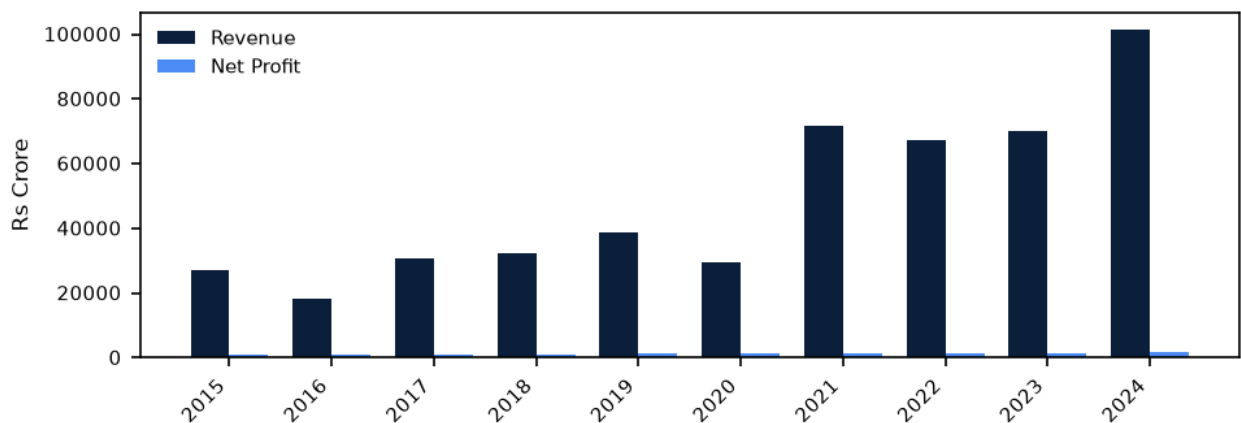
21.2%

Revenue CAGR 5yr

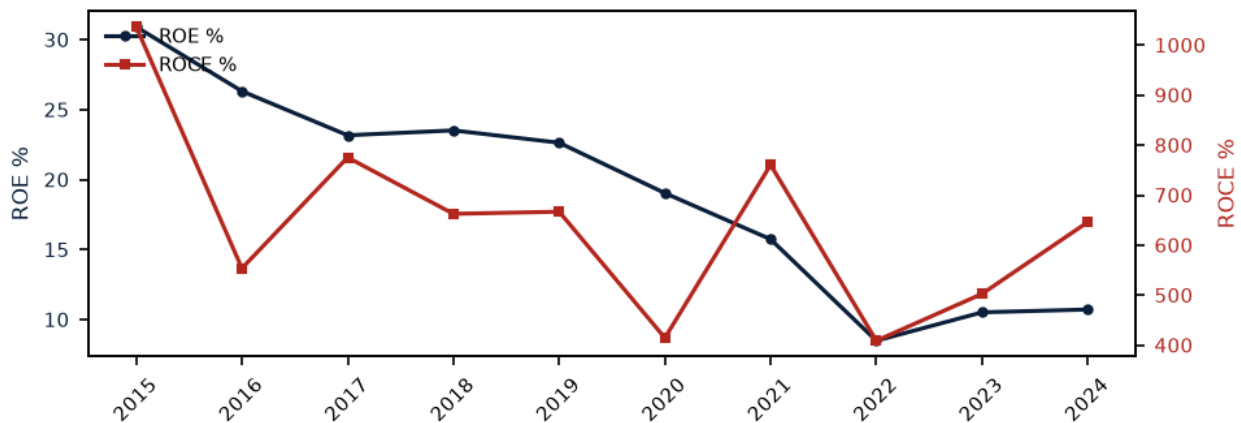
4.2%

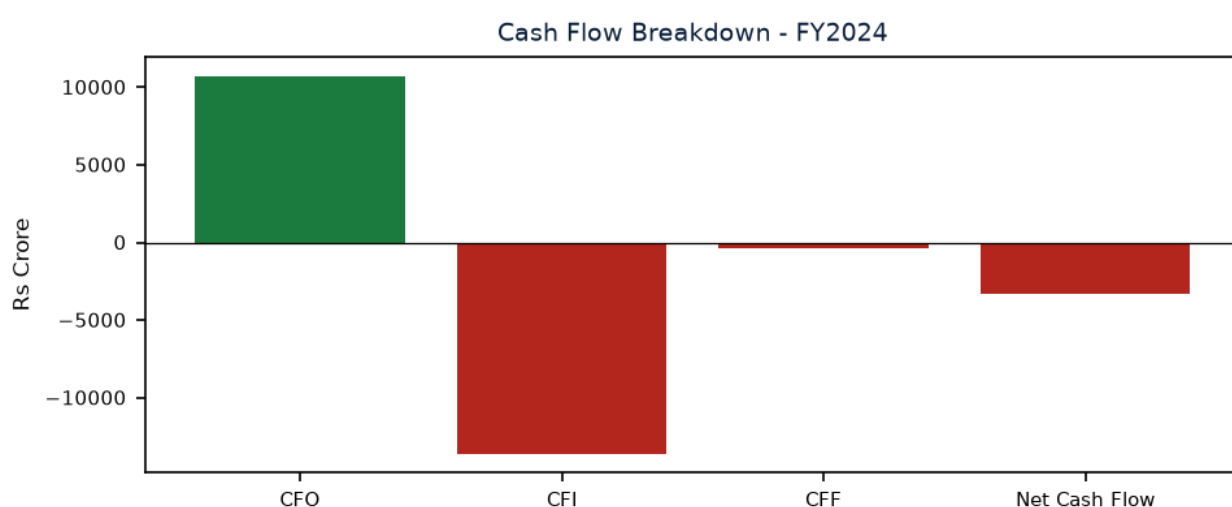
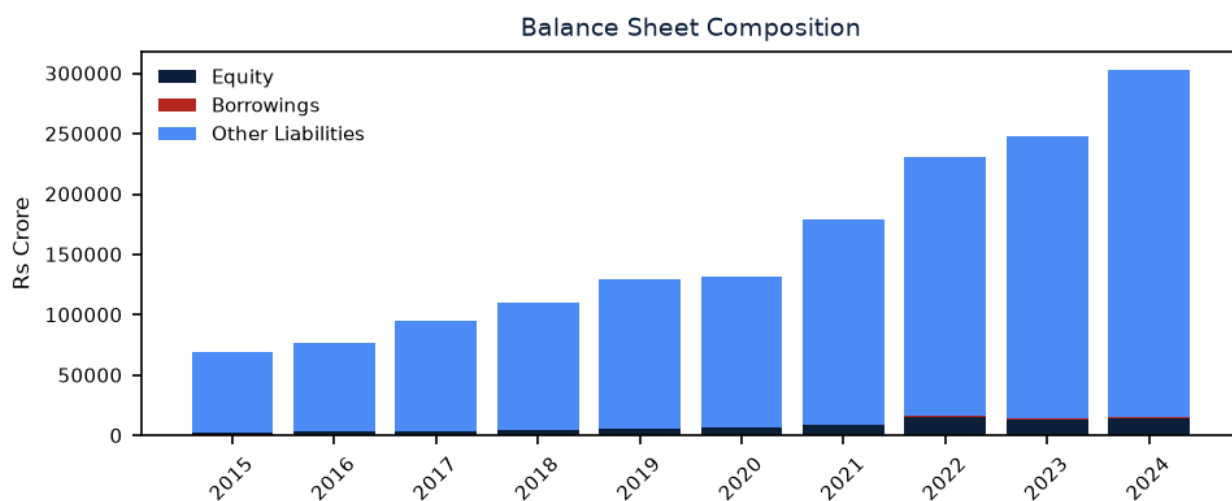
PAT CAGR 5yr

10-Year Revenue vs Net Profit



ROE vs ROCE Trend





Pros

- + Operating profit margin above 25% indicates strong pricing power and cost discipline
- + Very high interest coverage ratio reflects negligible financial stress from debt servicing
- + Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- + Return on equity improving for 3 consecutive years shows strengthening business quality

Cons

- Free cash flow negative for 3 consecutive years raises concern about cash generation quality

Capital Allocation Pattern

Reinvestor